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NVDA
NASDAQ: NVDA | 2026-05-28
INSTITUTIONAL USE ONLY

Investment Memo: NVDA

1. One-Line Thesis & Valuation Snapshot

NVIDIA is the only company in the comparable set compounding revenue at 85% while running a 65% EBITDA margin, and at 17.1x forward earnings the market is paying the lowest growth-adjusted multiple in the peer group for the highest-quality earnings stream in semiconductors.

METRIC	VALUE
Market cap	$5,236B
Enterprise value	$5,144B
Net cash (implied, MCap − EV)	$92B
TTM revenue	$253.5B
TTM EBITDA	$165.5B
EBITDA margin	65.3%
YoY revenue growth	85.2%
EV/Revenue	20.29x
EV/EBITDA	31.08x
Forward P/E	17.08x



Figure 1 — NVDA share price, trailing 1y. Adjusted daily close (navy) with 50-day moving average (gold). 52-wk range $135.10–$235.74. Source: Yahoo Finance, as of 2026-05-29.

The 17.1x forward P/E reads as “cheap” only until it is bridged against the trailing base. Capitalizing the $5,236B cap at 17.08x implies forward net income of **$306.6B. Against TTM EBITDA of $165.5B — and trailing net income necessarily below that, roughly ~$132B at NVIDIA’s ~52% net margin — that forward earnings pool is 2.3x the trailing base**. A 17x forward multiple is therefore not a present-tense figure: it discounts an out-year (FY2028-type) consensus that already assumes one-to-two more years of the current 85% trajectory, with margins held near record. Priced on trailing earnings the stock is ~40x, not 17x. The term structure is the honest framing: **~40x trailing P/E → high-20s NTM → 17x out-year**.

METRIC	NVDA	AMD	AVGO	TSM
Mkt cap ($B)	5,236	824	2,075	2,175
Fwd P/E	17.08	38.98	23.82	21.48
EV/Revenue	20.29	22.33	30.34	2.14*
EV/EBITDA	31.08	112.56	55.66	3.07*
YoY rev growth	85.2%	37.8%	29.5%	35.1%
EBITDA margin	65.3%	19.8%	54.5%	69.6%
PEG (fwd P/E ÷ growth)	0.20	1.03	0.81	0.61

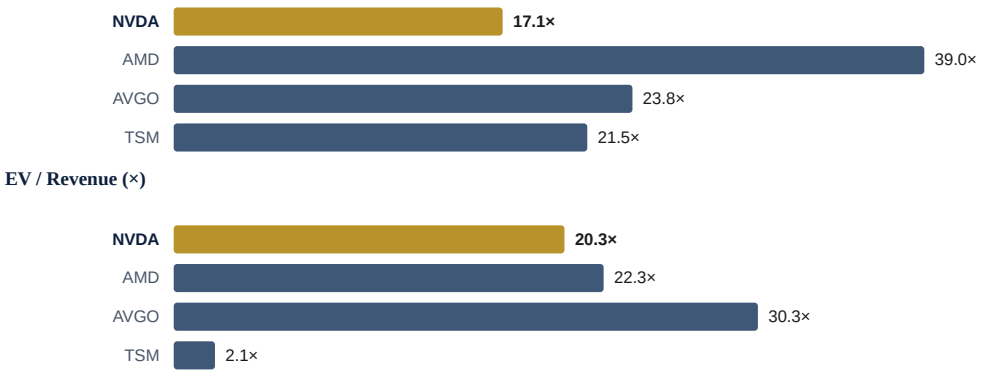


Figure 2 — Relative valuation. NVDA (gold) vs. peers (navy) on forward P/E and EV/Revenue. 3 payload peer(s).

*TSM revenue/EBITDA are reported in TWD against a USD enterprise value, so its EV/Revenue and EV/EBITDA are currency artifacts and not comparable; only TSM's forward P/E, growth, and margin ratio are usable. On the comparable basis, NVDA carries the **lowest PEG (0.20)** and the lowest EV/EBITDA of the USD-reporting set despite the fastest growth and highest margins.

2. Business Overview & Operations

NVIDIA's revenue is now a near-pure-play on accelerated computing. The payload does not break out segments, so the mix below is sourced from the Q1 FY2027 release (reported May 20, 2026):

SEGMENT (Q1 FY27)	REVENUE	YOY	SHARE
Data Center — total	$75.0B	+92%	~92%
— Compute (GPU)	$60.4B	+77%	—
— Networking	$14.8B	—	—
Gaming + ProViz + Auto + OEM	~$6.6B	—	~8%
Total	**$81.6B**	**+85%**	**100%**

The business is a fabless designer: NVIDIA owns architecture (Blackwell), the CUDA software moat, and increasingly the rack-scale system (NVLink/networking via the $14.8B networking line), while outsourcing fabrication to TSMC and HBM to SK Hynix/Samsung. Go-to-market is concentrated and direct — hyperscale customers represented ~50% of Data Center revenue in the quarter, with the balance diversifying into AI clouds, sovereign, enterprise, and industrial buyers.

Operating leverage is the defining mechanic. A 65.3% TTM EBITDA margin on a fabless cost structure means incremental revenue carries very little incremental fixed cost — R&D and the CUDA ecosystem are largely sunk, so the 85% revenue line drops through to EBITDA at near-incremental margins. That is visible in the gap between the 85.2% revenue growth and the still-expanding margin: scaling is not diluting profitability.



Figure 3 — Operating leverage. TTM EBITDA margin and YoY revenue growth on TTM revenue of $253.5B. Source: MCP payload.

The leverage cuts both ways. The cost line that matters is COGS, governed by HBM pricing, advanced-packaging (CoWoS) capacity at TSMC, and the Blackwell yield ramp. Gross margin — not opex — is the swing variable on the way up, because the company is supply-constrained rather than demand-constrained. The implied $92B net-cash position removes balance-sheet risk and funds buybacks and the (recently raised) dividend without compromising the capacity pre-payments NVIDIA uses to lock supply.

3. Alternative Data & Macro Signals



Figure 4 — Attention signal. Latest search interest (35/100) within its trailing trough–peak band (28–100). Source: Google Trends (MCP payload).

Google Trends — a positioning proxy, not a demand proxy. Search interest in “NVDA” sits at 35 against a trailing peak of 100 and a trough of 28, with velocity of just +1.6%. For a consumer brand this would matter to revenue; for NVIDIA, whose revenue is ~92% enterprise/hyperscale Data Center, retail search has no direct demand read-through, so I treat it strictly as a sentiment/positioning signal. The read is notable precisely because it diverges: the stock is at record valuation while retail search sits in the lower third of its trailing range. That argues the marginal buyer is now institutional and fundamentals-driven rather than retail-hype-driven — a healthier ownership base than the 2023–24 melt-up, and a lower retail-froth risk than the StockTwits chatter alone would suggest.

Macro (FRED TLNRESCONS) — low relevance, carried as backdrop only. The pipeline default series is Commercial Construction Spending ($1,243.8B, +0.21% YoY, latest March 2026). The payload flags its relevance as **low**, and correctly so: there is no transmission mechanism from commercial-real-estate construction to a GPU designer’s revenue or margins. Per the relevance gate I decline to manufacture a correlation — it is noted as inert macro backdrop and carries no weight in the thesis. The macro variable that *does* transmit to NVIDIA — hyperscaler capex budgets and the cost of capital funding AI infrastructure — is not in this payload and is the series an analyst should substitute.

SEC filing cadence. The 8-K record shows a normal earnings rhythm (2.02 results on 2026-05-20, 2026-02-25, 2025-11-19, 2025-08-27) alongside a cluster of four 5.02 director/officer filings in roughly four months (2026-05-08, 2026-04-27, 2026-03-06, 2026-01-23). Investigated rather than left as smoke: the May filing is the board appointment of Suzanne Nora Johnson (former Goldman Sachs Vice Chairman) to the board and audit committee, and the April filing is the hire of Scott Gawel (ex-Intel) as VP/Chief Accounting Officer. This is routine governance and finance-leadership refresh, **not** a distress or departure signal. The risk-factor snippet centers on regulation, IP, and — most materially — **export controls and tariffs**, which is the genuine signal in the filings and is carried into §5.

Job-market signal is unavailable in this payload (`available: false`), so hiring velocity cannot corroborate the demand story here — a data gap, not a negative.

4. Consumer & Public Opinion

Blended sentiment is **positive at +0.24 across 107 posts** — an adequate sample, weighted toward StockTwits (native Bull/Bear labels, full weight) with news and forum sources layered behind it.

SOURCE	MESSAGES	SCORE	WEIGHT
StockTwits	30	+0.33	1.00
Yahoo Finance	20	+0.41	0.70
Google News	25	+0.57	0.70
Bing News	7	+1.00	0.42
HackerNews	25	−1.00	0.60
Blended	**107**	**+0.24**	—

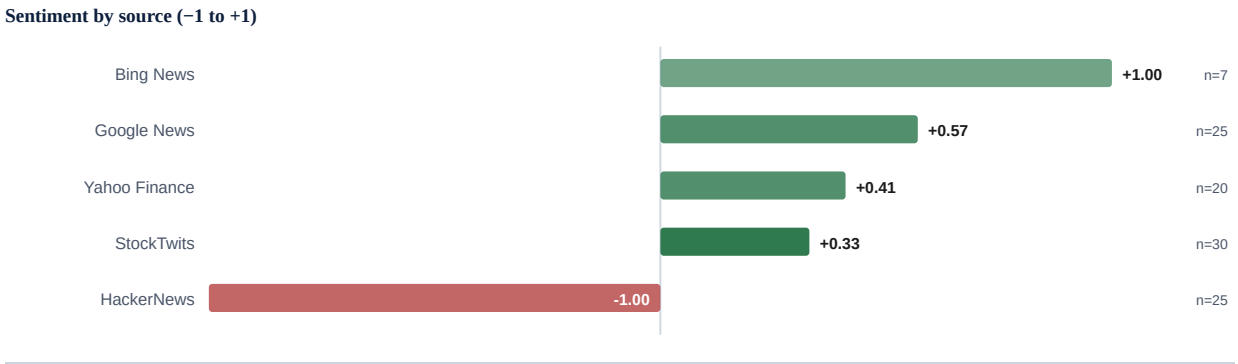


Figure 5 — Public opinion. Aggregate +0.24 across 107 posts. Per-source mean sentiment; bar opacity scales with source weight, n = message count. Source: multi-source sentiment (MCP payload).

The headline number masks a sharp split. Retail and news flow (StockTwits +0.33, Google News +0.57, Bing +1.00) is uniformly bullish — price-target raises (TD Cowen to $275) and "best stock of the decade" framing. **HackerNews is the lone dissenter at −1.00**, and for a company whose buyers are engineers and infrastructure architects, that technical-community skepticism matters more than its weight implies — it typically reflects debate over custom-silicon substitution, CUDA lock-in fatigue, and power/datacenter constraints rather than valuation noise. For NVIDIA — sold to sophisticated B2B buyers, not consumers — the bullish retail tape is a positioning/froth indicator, while the HN negativity is closer to a leading signal on the actual customer base's posture. Bing's +1.00 on only 7 messages is too thin to weight.

> *"$NVDA Block shorts, bears and those negative minded people and watch how quickly this board is full of good news." — StockTwits*

> *“Samsung Electronics and SK Hynix produce the lion’s share of the world’s high-bandwidth memory (HBM)… that NVIDIA, AMD, and the hyperscalers cannot build accelerators [without].” — Yahoo Finance*

> *“NVIDIA (NVDA): The Best High Growth Stock to Buy and Hold for the Next Decade.” — Google News*

> *“TD Cowen lifted the price target on NVIDIA Corporation (NASDAQ:NVDA) to $275…” — Bing News*

5. Key Risks & Structural Barriers

1. **Export controls / China (highest).** The risk-factor snippet centers on export requirements, tariffs, and cash-repatriation. China policy can strand a revenue tranche overnight and is the single largest exogenous threat to the out-year earnings the 17x multiple capitalizes — a tightening directly compresses the $306.6B implied earnings bridge in §1.
2. **Customer concentration vs. diversification — net stance.** Hyperscalers were ~50% of Data Center (~46% of total) revenue. I framed the *diversification trend* as a positive in §2/§3 and concentration as a risk here; reconciling the two: the ~50% hyperscale share is simultaneously the growth engine and the chief vulnerability, and the offsetting dynamic is the visible migration toward sovereign/enterprise/AI-cloud buyers. **Net stance: a manageable but unresolved concentration** — durable as long as hyperscaler AI capex holds, and the most important swing variable to monitor. A capex pause by 2–3 buyers would hit the forward numbers hardest.
3. **Custom-silicon substitution.** Broadcom-enabled hyperscaler ASICs and AMD's MI-series attack the same budget. AMD's 37.8% growth and AVGO's 29.5% confirm a real, funded competitive set; the HackerNews negativity in §4 is the early voice of this thesis. CUDA and NVLink are the moat, but substitution caps long-run pricing.
4. **Expectations / multiple risk.** At ~40x trailing earnings the stock prices sustained ~85% growth and record margins. Any deceleration or gross-margin slip on the Blackwell ramp (HBM/CoWoS supply, yields) de-rates a richly-priced name quickly — operating leverage runs in reverse on the gross line.
5. **Litigation — coverage gap, not a clean bill.** Stanford SCAC is offline (restructuring until Winter 2026); the EDGAR keyword fallback returned only stale 2010/2013 earnings-exhibit mentions, which are **not** active securities class actions. Treat litigation exposure as unverified — an analyst must re-run SCAC/PACER before clearing it.

6. Investment Recommendation

BUY — high conviction. The thesis from §1 holds across the memo: NVIDIA pairs the fastest growth (85.2%) and highest-quality margins (65.3% EBITDA) in the comparable set with the lowest growth-adjusted multiple (PEG 0.20 vs. 0.61–1.03 for peers) and a $92B net-cash balance sheet. The §2 operating-leverage mechanics and the §3 signal read — institutionally-driven ownership, routine governance, no live macro or litigation threat — support paying a premium absolute multiple that is nonetheless cheap on growth.

The call rests on out-year earnings (the 17x forward = ~2.3x the trailing profit pool), so it is a bet that the current trajectory persists, not that the stock is statically cheap today. Variables that would change the call: (1) a China/export-control tightening that strands Data Center revenue; (2) evidence of a hyperscaler capex pause or accelerated ASIC substitution; (3) a Blackwell-ramp gross-margin slip. Absent those, the risk/reward favors ownership.

Sourcing note. Payload-derived (`context_NVDA.json`): all target and peer multiples, growth, margins, market cap/EV, Google Trends, FRED macro, 8-K/litigation records, and consumer-sentiment scores and quotes. Externally sourced (web): Q1 FY2027 segment mix and totals (NVIDIA release, May 20 2026); identities behind the 5.02 filings (Suzanne Nora Johnson board appointment; Scott Gawel CAO hire); TD Cowen $275 target (also surfaced in payload quotes). Trailing net-income figure (~$132B) is an estimate derived from a ~52% net-margin assumption on payload TTM revenue, used only to frame the valuation bridge.